

01_PRD

Agentic Regulatory Governance & Unified Simulation

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1. Overview

ARGUS is an Agentic Regulatory Stress Testing Platform that converts SEBI circulars into operational intelligence. Instead of summarizing regulation or answering compliance questions, ARGUS continuously evaluates whether an organization is actually *ready* to comply — simulating the equivalent of a SEBI inspection before it happens.

Core question ARGUS answers: *“If SEBI conducted an inspection tomorrow, how ready are we?”*

2. Problem Statement

When SEBI issues a new circular, organizations must manually read the text, determine which departments are affected, update policies, assign tasks, collect evidence, and prepare for audits. This process is:

- **Slow** — manual reading and interpretation of dense regulatory text
- **Expensive** — requires legal/compliance headcount for every circular
- **Reactive** — gaps are usually discovered only during an actual audit

3. Goals & Non-Goals

3.1 Goals

- Automatically extract obligations from SEBI circulars.
- Map obligations to an organization’s existing policies, SOPs, and workflows.
- Simulate a regulatory inspection (“stress test”) to surface gaps before they become audit findings.
- Produce a single, explainable **Regulatory Readiness Index (RRI)**.
- Explain *why* a gap exists via a traceable **Regulatory Replay** chain.
- Generate a prioritized, exportable remediation/action plan.

3.2 Non-Goals (MVP)

- Legal advice or definitive regulatory interpretation (ARGUS assists, does not replace, compliance/legal counsel).
- Coverage of regulators beyond SEBI in v1 (architecture should not preclude RBI/IRDAI later).
- Real-time ingestion of every regulator communication channel (v1 supports manual/batch upload of circulars).
- Automated policy rewriting (ARGUS recommends, humans approve and edit).

4. Target Users & Personas

Persona	Role	Needs
Compliance Officer	Owns regulatory adherence	Fast obligation extraction, readiness score, audit trail
Department Head	Owns a business function (Ops, Risk, IT)	Clear task list of what’s expected from

		their team
Internal Auditor	Validates evidence before external audit	Evidence completeness view, gap chain-of-reasoning
CXO / Board	Oversight	High-level RRI trend, risk exposure summary

5. User Stories

1. As a Compliance Officer, I want to upload a new SEBI circular and get a list of extracted obligations, so I don't have to manually read 100+ pages.
2. As a Compliance Officer, I want obligations automatically mapped to our existing policies/SOPs, so I can see coverage at a glance.
3. As a Department Head, I want to see which obligations affect my department and what evidence is missing, so I know exactly what to fix.
4. As an Auditor, I want to see the full reasoning chain (Regulatory Replay) behind a flagged gap, so I can validate the finding without re-deriving it myself.
5. As a CXO, I want a single Regulatory Readiness Index score with a trend line, so I can report compliance health to the board.
6. As a Compliance Officer, I want a prioritized action plan with owners and deadlines, so remediation work is actionable, not just diagnostic.
7. As a Compliance Officer, I want to export an audit-ready report (PDF), so I can hand it directly to a regulator or internal audit committee.

6. Functional Requirements

FR-1 Circular Ingestion

- Upload SEBI circular as PDF (native or scanned/OCR).
- System parses and stores circular text with section-level structure.

FR-2 Obligation Extraction (Regulation Intelligence Agent)

- Extract discrete obligations, each with: description, deadline (if any), applicability criteria, source section reference.
- Present extracted obligations for human review/edit before downstream processing.

FR-3 Policy/Process Mapping (Process Mapping Agent)

- Ingest organization's existing policy/SOP documents (PDF/DOCX).
- Map each obligation to zero or more internal policies, SOPs, workflows, and responsible departments.
- Flag obligations with no matching internal control ("unmapped obligation").

FR-4 Regulatory Stress Test (Stress Test Agent)

- For each mapped obligation, simulate an inspection check across: missing controls, policy conflicts, outdated procedures (e.g., policy last-updated date vs. circular date), workflow gaps, unimplemented obligations, missing evidence.
- Output a structured list of findings, each tagged with severity (High/Medium/Low).

FR-5 Evidence Verification (Evidence Verification Agent)

- Accept evidence artifacts (policy docs, training records, compliance reports, approvals, audit docs).
- Check evidence existence/currency against each obligation; mark evidence status (Present / Stale / Missing).

FR-6 Regulatory Readiness Index (RRI)

- Compute a 0–100 score from weighted components: Policy Alignment 25%, Control Coverage 25%, Evidence Completeness 20%, Workflow Readiness 15%, Employee Readiness 15%.
- Display overall score plus per-component breakdown.
- Track RRI over time (trend view) as circulars are added/remediated.

FR-7 Regulatory Replay

- For any flagged gap, render the causal chain: Circular → Obligation → Mapped Policy → Workflow → Missing Approval/Evidence → Risk → Recommended Fix.

FR-8 ARGUS Advisor

- Natural-language explanation of why a gap exists, which regulation is implicated, risk level, and recommended corrective action.
- Chat-style Q&A grounded in the organization’s own mapped data (RAG over policies + circulars).

FR-9 Action Plan & Reporting

- Auto-generate a prioritized remediation plan (obligation, gap, owner/department, suggested deadline, priority).
- Export as an audit-ready PDF report.

FR-10 Access Control

- Role-based access: Admin, Compliance Officer, Department Head, Auditor (read-only), Viewer.

7. Non-Functional Requirements

Category	Requirement
Performance	Obligation extraction for a 100-page circular completes in < 3 minutes
Accuracy	Extraction agent surfaces obligations for human confirmation; no fully-automated policy changes
Auditability	Every RRI score and gap must be traceable back to source circular text and mapped documents
Security	Uploaded policy/compliance documents are sensitive; encrypt at rest and in transit; row-level tenant isolation
Availability	MVP target 99% uptime (hackathon/demo-grade; production target 99.9%)
Explainability	Every AI output (gap, score, recommendation) must have a “why” trace (Regulatory Replay)

8. Success Metrics

- **Time-to-readiness-assessment:** time from circular upload to first RRI score (target: < 10 minutes for MVP demo).
- **Gap detection recall:** % of manually-known compliance gaps also surfaced by the Stress Test Agent (validated on seeded test data).
- **User-perceived clarity:** qualitative feedback that Regulatory Replay explanations are understandable without compliance-expert interpretation.

9. Assumptions

- Users can upload circulars and internal policy documents in text-extractable PDF/DOCX form (OCR fallback for scans).
- MVP scope covers SEBI only; multi-regulator support is a post-MVP extension.
- LLM provider (Gemini/Llama/GPT via API) is available and obligations extracted are reviewed by a human before being treated as ground truth.

10. Open Questions

- Which LLM provider is primary for the hackathon demo, and are there API rate/cost constraints to design around?
- What is the minimum viable “policy corpus” needed for a compelling demo mapping (synthetic data vs. real anonymized policies)?
- Should evidence verification support automated document classification (e.g., “is this a training record?”) in v1, or manual tagging only?